

stations generated 13,048.76 million units and the overall capacity index achieved was 94.13 per cent. The organisation has improved its performance further in the current financial year (2007-08) by generating 12,670.36 million units and achieving the capacity index of 97.92 per cent by December 2007. The organisation has set a target to add another 5,322 MW of capacity in the Eleventh Plan. Steps have already been taken to mobilise the required funds for timely completion of all the on-going and new projects.

Power Vignouring Projects

Eying to cash on the huge hydro power potential that India possesses, NHPC is rapidly establishing power plants across the country. So far, NHPC has



completed 13 projects with a total installed capacity of 4,835 MW which includes 1,000 MW Indira Sagar Project and 520 MW Omkareshwar Project through Narmada Hydroelectric Development Corporation Limited (NHDC) - a joint venture of NHPC with the Government of Madhya Pradesh. Besides this, NHPC has commissioned the 14.1 MW Devighat Project in Nepal, 60 MW Kurichu Project in Bhutan, 5.25 MW Kalpong Project in Andaman and Nicobar islands and 4 MW Sippi Project in Arunachal Pradesh as deposit work. At present, 12 projects with a total installed capacity of 4962 MW are under execution.

Emerging financial strength

Much to its ecstasy, NHPC is growing financially with each passing year. When the company started generating power in 1982-83, its turnover was Rs 24 crore. During that financial year, it made a net profit of Rs 8 crore. Since then, the financial performance of NHPC has been exemplary. Today, NHPC has an authorised share capital Rs 15,000 crore and an investment base of about Rs 25,400 crore.

In the financial year 2006-07, the corporation's gross sales increased to Rs 1,963 crore and the net profit (after tax) to Rs 925 crore - an increase in the net profit of 24.5 per cent from the previous financial year. The corporation also declared a dividend of Rs 278 crore for the year 2006-07. During the initial half of the financial year (2007 - 2008) which ended on September 30, 2007, NHPC registered a gross sale of Rs 1,674 crore and a net profit amounting to Rs 735 crore as against Rs 1,380 crore and Rs 528 crore respectively in the corresponding previous half-year. Thus, gross sales increased by 21 per cent and net profit after tax by 39 per cent in a span of one year.

NHPC is soon coming up with its initial public offering (IPO). It is aimed at raising resources to a permissible extent of 24 per cent of the corporation's paid-up capital and disinvestment from the Government of India. It is expected that this forthcoming IPO will reduce the government's shareholding to 86.36 per cent from the present 100 per cent holding.

The draft red herring prospectus (DRHP) of the forthcoming IPO was filed with SEBI in April 2007. The company is awaiting the appointment of Independent Directors in line with Clause 49 of SEBI.

Passing on the expertise

NHPC is also offering a wide range of 'world-class' consultancy services related to hydro power generation. Because of its vast experience in executing its own projects proficiently, NHPC is in the position to conceptualise and commission it for others as well. To identify the business opportunities, the corporation has formed a consultancy wing. This wing is responsible for bringing the consultancy assignments, new projects and joint ventures for NHPC. With NHPC being registered as a 'Consultant' with the World Bank, Asian Development Bank and many more, there is nothing left to say about the competency level of the corporation's consultancy wing. Some of the major clients of NHPC include:-The Royal Government of Bhutan, Government of Myanmar, Government of Tajikistan (Barki Tojik), Ministry of External Affairs, Andaman and Nicobar Administration, Damodar Valley Corporation, Bihar hydro power Corporation Limited, Konkan Railway Corporation Limited, Power Grid Corporation India Limited, West Bengal Power Development Corporation Limited, Government of Nagaland, ICICI, etc.

Power of innovation

In its pursuit of achieving excellence in all aspects, the Research and Development (R&D) wing of NHPC is working extensively. The R&D wing carries out activities which can help the organisation attain self-reliance and reduce its dependability on imports. To attain sustainable hydro power, the R&D wing is especially concentrating on the ways to prolong the longevity of the under-water turbine components and silt resistant material for turbines. Along with forming a Clean Development Mechanism (CDM) and ecological study of hydro-reservoir, research work is always on to innovate ways to decrease the construction time and have trouble-free operations. With the hydro-development plan well on its way, the R&D wing is now focussing on harnessing the other alternative sources of energy - like solar and geothermal. Not only has it commissioned its pilot project 25 KWP Solar Power Plant successfully but also prepared the pre-feasibility report of 5 MW plant of geothermal power in Jammu and Kashmir.

Commitment to environment

NHPC is committed towards saving the environment. The corporation is performing dual responsibility of - increasing the power generation and restoring the environment, efficiently. NHPC conducts comprehensive in-house studies concerning the impact on environment. Through Environmental Impact Assessment (EIA) studies, suitable Environment Plans are prepared and implemented to avoid any negative impact on environment due to the setting up of hydro electric projects. The corporation believes in the philosophy of 'giving back to the nature'. By creating various bio-diversity parks and carrying out afforestation drives, NHPC ensures maintaining the environment and ecology of the area in which it operates. Apart from meeting the guidelines set by the Ministry of Environment and Forests, the corporation has planted approximately 80 lakh trees voluntarily. Besides this, rehabilitation and resettlement policies are also formed so as to ensure that the people who get displaced due to the projects don't get affected socially, culturally and economically.

Using technology at its best

NHPC has successfully optimised the use of information and communication technologies for boosting its power generation and integrating the functioning of various departments. The corporation has set up state-of-the-art IT infrastructure in more than 35 locations across the country. Latest fail-safe communication systems have been installed at all the locations to have provision for video conferencing, fax, data, etc. Moreover, no matter where the projects are located, all of them are inter-connected with the corporate house. For this purpose, VSAT based satellite communication network has been established to make every location accessible. In addition, a host of softwares covering various key business functions are also installed, including - project construction monitoring, financial accounts, energy accounting and billing. IT and communication technologies have enabled an increase in power generation along with improvement in the efficiency of power plants.